RONNY AHARON MUSAN LEVI
versus
WALTER MAGAYA

HIGH COURT OF ZIMBABWE
**TAKUVA J**
HARARE; 16 June 2025 and 18 February 2026

**Civil Trial**

*T T G Musarurwa with Z Luthuli*, for the defendant
Adv *G R J Sithole with T Makamure,* defendant in attendance

TAKUVA J: The defendant's conduct in this matter stands in stark and troubling contrast to the very scriptures he professes to hold as a man of God, pastor and leader of a Christian Ministry. While this court is one of law and not of theology, one is reminded of the timeless wisdom found in the book of Psalms, Chapter 37, verse 21, which teaches a fundamental tenet of righteous living. It states;

"The wicked borrows but does not pay back, but the righteous is generous and gives."

The plaintiff's claim against the defendant is for provisional sentence in the amount of US$3000000.00 (Three million United States Dollars) together with interest on that amount at the agreed default rate of 3% compounded monthly reckoned from 12 May 2022 to date to full and final payment and costs of suit on an attorney -client scale. According to the creditor's records the balance due stands at USD$3000000.00 as at 11 January 2023.

BACKGROUND FACTS

The plaintiff's claim is based on a Memorandum of Agreement and promisory note executed by the defendant dated 12 May 2022. In terms of the Memorandum of Agreement and the promisory note an amount of US$3000000.00 together with interest is payable to the plaintiff. The amount claimed by plaintiff has become dues and payable to him because:

1. The defendant did not register a first ranking mortgage on Yadah Hotel Properties as was initially agreed upon in the memorandum of agreement.
2. In terms of the agreement the mortgage was supposed to be lodged within 30 (thirty) days of receipt of the full agreement.
3. The defendant received the full amount soon after the signing of the Memorandum of Agreement and to date he has neither registered nor lodged the mortgage bond.

At a hearing for a provisional sentence the court declined to issue a provisional sentence and directed the plaintiff to proceed in accordance with r 14(14) of the High Court Rules 2021. Accordingly, the parties plead their cases as normal, proceeded to PTC and the matter was set down for trial. At the trial hearing on 16th June 2025, the defendant's counsel indicated that he had a preliminary point to raise. The point was that the agreement entered into by the parties was unlawful as it violated Exchange Control Regulations, particularly sections 4 and 11 of the Exchange Control Regulations Statutory Instrument 109 of 1996.

DEFENDANT'S CASE ON ILLEGALITY

The gravamen of the defendant's argument is that any agreement involving an external payment obligation, regardless of context is *void ab initio* if prior authority was not obtained. Defendant relied on the authority of *Innscor Zimbabwe (Pvt) Ltd* v *Dolphin Trading (Pvt) Ltd* HH 271/11, *Barker* v *African Homesteads Touring & Executives Estate Forester* 1991(1) ZLR 315(S), *Internal Who is Who Ltd* v *Bernstein Clothing Pvt Ltd* SC 28/1999.

Mr Sithole for the defendant argued strongly that the agreement to pay outside Zimbabwe is illegal in that it violates sections 4 and 11 of Statutory Instrument 109/96 as there is no prior approval of the Reserve Bank of Zimbabwe for the payments of plaintiff for the refund. As regards, procedure, it was submitted that illegality may be taken as a point *in limine*. It does not require a specific plea and if raised successfully, it disposes of the whole matter. The Promisory Note requires repayment by Swift facility in Israel. This according to the respondent amounts to externalising funds in violation of section 11 of SI 109/1996. One can not even enter into such a contract without authority and one can not receive money outside Zimbabwe unless he or she is licensed.

Finally, defendant submitted that the applicant's case should be dismissed and not struck off because plaintiff can not come back to court as he has no Exchange Control Authority.

PLAINTIFF'S CASE

It is plaintiff's submission that an agreement to make a payment inside Zimbabwe to a foreign resident is perfectly lawful to enter into. It is only the actual payment that requires authority under the former s 7 now s 10 of SI 109/1996. The mischief targeted by the Exchange Control Regulations is the unauthorised outflow of capital, not the solicited inflow of foreign direct investment. The matter *in casu* is not one of a local giving Z$ to buy US$. It is one of a foreigner lending US$ for a local project.

As regards repayment, if defendant is paying outside Zimbabwe, he must do so with the Reserve Bank approval which can be done at that stage. Defendant is the one who supplied the accounts and issued a confirmatory letter saying he had received the money. Defendant then registered a mortgage bond. To turn around and say agreement is illegal would result in unjust enrichment with only defendant benefiting.

Plaintiff also contended that the onus of proving unlaw fulness lies on the party alleging it. In *casu*, it was submitted the defendant has failed to do so.

THE ISSUE

The sole issue for determination in this case is whether or not the agreement entered into by the parties violates the Exchange Control Regulations Statutory Instrument 109/1996?

LAW AND ANALYSIS

*In INNSCOR supra*, both parties were local entities transacting within Zimbabwe to convert local currency into foreign currency illegally. In the present case, the plaintiff is a foreign national who facilitated the inflow of foreign currency into Zimbabwe from outside the country as an investment. The defendant is the local recipient of that foreign investment.

Further, the transaction in Innscor was a pure undisguised "parallel market" foreign currency deal. Its aim was for a local company to acquire foreign currency illegally, whereas the transaction *in casu* is an investment agreement in which the plaintiff provided capital to the defendant to fund a specific mining project in Zimbabwe. The plaintiff's provision of funds was the performance by the foreign investor and the obligation to repay was the defendant's reciprocal duty. In that sense, this is not a case of a Zimbabwean local giving ZW$ to buy US$ but one of a foreigner lending US$ for a local project.

It is noteworthy that in both cases it is the defendant resisting payment. However, the equities are vastly different. In *casu*, the defendant solicited the foreign investment, received the full benefit US$ 3000000.00 in foreign currency, and now seeks to retain this windfall by crying "illegality." In my view this becomes a classic case of a party seeking to use a statute as an engine of fraud, a position the courts will not countenance -see *Hatting & Ors* v *van Kleek* 1997(2) ZLR 240(S) ZLR 240(S) at 245E where the court stated that:

> "The cases clearly show that where a contract is on the face of it legal but, by reason of a circumstance known to one party only, is for bidden by statute, it may not be declared illegal so as to debar the innocent person from relief; for to deprive the innocent person of his rights would be to injure the innocent, benefit the guilty and put a premium on deceit."

In my view, the court in INNSCOR correctly declined to "soil its hands" by ordering the specific performance of a quintessentially illegal parallel market transaction between two local parties. On the other hand, the present case invites the court to order the repayment of a foreign loan which was solicited by and for the benefit of a Zimbabwean resident. These two cannot be conflated without misapplying the law and ignoring the core purpose of the Exchange Control framework.

In both *Barker and International Who is Who Ltd* v *Bernstein clothing* SC 28/99 supra, the agreements were found to be illegal because a Zimbabwean resident had incurred an obligation to make payment outside Zimbabwe without prior authority, there by directly contravening section 11 of the Regulations. However, this principle indicts defendant in that the section 11 prohibition is explicitly placed on the "Zimbabwean resident." In *casu*, the plaintiff an Israeli national acting outside the country can not and did not violate this provision. The defendant had an obligation to seek authority for a future payment. Surely, defendant can not now use his potential or actual breach as a shield to invalidate the entire agreement. From the authorities the scope of the law does not extend to the plaintiff's conduct. Defendant has not shown that the agreement required plaintiff to make an unlawful payment. I find the case of *Hatting* v *Van Kleek supra* to be directly on point and decisive. What happened in Hatting is that a foreign visitor (the Creditor) agreed to lend money to a Zimbabwean (the debtor) for a safari business. At the debtor's instruction, the loan was paid into an offshore bank account in London. The debtor later refused to pay, arguing that the agreement to repay the loan outside Zimbabwe was illegal under the Exchange Control Regulations. The Supreme Court dismissed the appeal

holding that the agreement did not contravene the Regulations in that the loan itself solicitated by the Zimbabwean and paid into an external account at his discretion, did not qualify as the "proceeds of any trade, business or other gainful occupation or activity carried on by him in Zimbabwe," thus the prohibition was in applicable.

Hattingh is on all fours with the present matter in that plaintiff, a foreign national, provided investment capital, which was paid into accounts nominated by defendant. In my view, the agreement itself is valid in that it does not violate the regulations. As regards the promisory note, its preamble clearly states that the amount owing shall be paid either to a foreign account or to any other account which the creditor so directs. No mandatory obligation to pay outside the country or to break the law is made in the promisory note or in the agreement that forms a core part of the cause of action. Defendant has failed to show the inflow of US$3000000.00 for his benefit constitutes a contravention of the out bound payment obligation did in Barker and Hatting or the internal parallel market trade did in INNSCOR.

The defendant urged the court to find that payments to foreign bank accounts at his instance and for his benefit were illegal and rendered the agreement unenforceable. Defendant's argument is that because the plaintiff made payments from foreign sources into foreign bank accounts, he violated sections 4 and 11 of the Exchange Control Regulations, SI 109/1996 (the Regulations).

In my view, the defence is legally and factually untenable in that it seeks to improperly extend the jurisdictional reach of Zimbabwean domestic law to govern the conduct of a non-resident acting outside of Zimbabwe. I take the view that the regulations do not have extraterritorial application to non-residents. A fundamental principle of statutory interpretation is that legislation is presumed not to have extra-territorial effect unless it expressly provides for it.

Our Exchange Control Regulations are designed to govern the conduct of Zimbabwean residents and activities within Zimbabwe. see S v F G Transport (Pvt) Ltd)1994(2) ZLR 256(H) where the court reaffirmed the general principle of Zimbabwean law that legislation is territorial. A penal or regulatory provision is construed as "applying only to acts committed within Zimbabwe's borders unless the contrary is explicitly stated."

Section 11 of the Regulations is the key provision governing payments outside Zimbabwe. it states;

> "11 Unless otherwise authorised by an exchange control authority, no Zimbabwean resident shall-
> (a) Make any payment outside Zimbabwe; or
> (b) Incur any obligation to make a payment outside Zimbabwe"

It is clear that the restrictive words here are, "no Zimbabwean resident." In *casu*, the plaintiff is an Israeli citizen who was not resident in Zimbabwe at any material time. Accordingly, section 11 by its own clear and unambiguous terms, does not apply to the plaintiff in that this provision does not apply to his conduct.

As regards section 4 of the Regulations, it is apparent that it prohibits the buying and selling of foreign currency by any person in Zimbabwe other than through an authorised dealer. Plaintiff's conduct of transferring funds from one foreign bank to another did not occur in Zimbabwe but outside Zimbabwe. This transaction is not of a domestic nature. Clearly, plaintiff was fulfilling his obligation to provide investment capital from an external source.

On the evidence, it is common cause that payments were made in the manner directed by defendant. Having nominated the recipient foreign accounts and having accepted the funds into them as good and complete performance, the defendant is estopped from claiming that the very method he prescribed was illegal. To permit this would be to violate the principle of approbation and reprobation. See *Georgias & Anor* v *Standard Chartered Finance Zimbabwe Ltd* 1998(2) ZLR488(S) where the court held that parties who have taken a benefit from an agreement "can not now be heard to say that their participation is to be ignored."

The law of equity and the principle that a party can not benefit from their own wrong stand firmly against such a position. To hold otherwise would be to sanction an absurdity in that a resident could induce a foreign investor to deposit funds into an offshore account, accept the benefit, and then refuse to re pay the loan because the investor had complied with their instructions.

A scrutiny of defendant's argument reveals that he is deliberately ignoring the crucial distinction made clear in the binding Supreme Court authority of BARKER *supra*. In that case, the agreement was held to be illegal because a Zimbabwean resident (African Home Steads) had incurred an obligation to make a payment outside Zimbabwe without authority- a clear violation of s 11 of the Regulations.

In *casu,* the plaintiff who is making payment is a non- resident to whom the prohibition in s 11 is inapplicable. The defendant, who solicited the investment, directed the method to payment and received the funds is a Zimbabwean residents. As pointed out *supra,* the Exchange Control Regs do not govern the actions of an Israeli national making a payment from a bank in one foreign country to a bank in another foreign country.

From the above reasoning, I find that the defendant failed to prove illegality and has not shown any violation of Zimbabwean law by the plaintiff. However, assuming I am wrong, this is s typical case for the relaxation of the in *pari delicto* rule. See *Dube* v *Khumalo* 1986(2) ZLR 103(S) which confirmed that the rule will be relaxed where it is necessary to prevent unjust enrichment and "to do simple justice between man and man."

In order to relax the rule, the following factors are considered;

(a) Unjust Enrichment - if defendant is successful, he will be unjustly enriched to the June of USD$3000000.00. This is contrary to public policy.

(b) Moral Turpitude: Defendant has no one to blame for his alleged misfortune. He solicited for the funds and received it. He now cynically pleads illegality in order to avoid repayment while keeping the money. In that regard, his moral blameworthiness far exceeds that of the foreign plaintiff who acted on his instructions.

(c) The policy of the law; allowing the defence would signal to the world that local promoters can defraud foreign investors with impunity by taking their money and then using domestic regulations as a shield. Such a result would harm Zimbabwe's reputation as a foreign investment distinction.

DISPOSITION

1. The defendant failed to prove illegality and has not shown any violation of Zimbabwean law by the plaintiff.
2. Exchange Control Regulations apply only to Zimbabwean residents.
3. A precedent set in HATTINGH supports the plaintiff's case and destroys the defendant's argument.
4. The defendant is estopped from claiming illegality as he prescribed the payment method and benefited from it.

5. Public Policy is averse to unjust enrichment, preventing the defendant from profiting unjustly from US$3000000.00 (USD 3 million).

In the result, it is ordered that;

1. The preliminary point raised be and is hereby dismissed for lack of merit.
2. The defendant shall pay plaintiff's costs on a higher scale.

**TAKUVA J:……..**

*Chinawa Law Chambers*, plaintiff's legal practitioners
*Rubaya & Chatambudza Legal Practitioners*, defendant's legal practitioners